PORTLAND PUBLIC SCHOOLS

REAL ESTATE AND CONSTRUCTION

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STAFF REPORT

Date: December 2, 2025

To: Board of Education

From: Dana White, Sr. Director of Real Estate and Construction

Subject: One North Property Due Diligence Summary

BACKGROUND

On September 9, 2025, the Board of Education approved Resolution 7165, authorizing execution of Purchase and Sale Agreement (PSA) for the proposed Center for Black Student Excellence building. The approval of this resolution began a 90-day due diligence period of the property as outlined in the PSA.

ANALYSIS OF SITUATION

The reports and studies performed to date are a standard part of real estate due diligence for any commercial real estate transaction. Staff reported due diligence activities and information through the Facilities Improvement and Oversight Committee on October 8 and provided feasibility and building condition reports in advance of the November 10 Committee meeting. The full findings of the due diligence were shared with the full Board at the November 18, 2025, Work Session.

Also, on November 24, staff was advised that PPS's property tax exemption would not be in effect until July 1, 2026; so, PPS will be responsible for property taxes related to the portions of the building that *are not occupied* by other tenants from closing through June 30, 2026, as part of closing costs. After that, PPS will have no net property tax liability for the building.

FISCAL IMPACT

Total cost of purchase, build out, and HVAC replacement is estimated to be $37M-$41M, well within the $60M allocation in the 2020 bond.

Funds required for closing are approximately $16.1M including reimbursement of property taxes, title fees and rent reconciliation as is usual and customary in transactions of this nature.

TIMELINE FOR IMPLEMENTATION / EVALUATION

The time needed to complete the improvements for student-facing programming is estimated at approximately twenty-four (24) to thirty (30) months.

BOARD OPTIONS WITH ANALYSIS

The Board may choose to move forward with the purchase and closing of the One North Property for use as the new Center for Black Student Excellence by approving Resolution 7215

The alternative option is to not proceed with the purchase and closing of the One North property, and look for an alternate property to purchase and remodel, or build a new building/space for the CBSE on property that PPS already owns or purchases. Both of these alternatives would extend planning and construction time beyond the approximately 30 months to completion noted above.

STAFF RECOMMENDATION

Staff recommends that the Board approve Resolution 7215 authorizing the District proceed to closing on the One North property.